

Coffee Shop Sales Performance Analysis

Executive Summary

1. Project Objective

The objective of this project is to analyze retail sales data from a coffee shop to generate actionable insights that enhance business performance, improve customer experience, and support data-driven decision-making. The analysis focuses on sales trends, customer behaviour, product performance, and store-level efficiency.

2. Key Performance Metrics

The coffee shop demonstrates strong operational activity, supported by the following key metrics:

- Total Sales Revenue: \$698,812
- Total Footfall: 149,116 customers
- Average Bill per Person: \$4.69
- Average Orders per Person: 1.44

These figures indicate a high-volume, low average transaction value business, suggesting that revenue growth depends on both maintaining customer flow and increasing per-customer spending.

3. Sales Trends & Customer Behaviour

Daily & Hourly Trends

Sales activity varies significantly across both time of day and day of the week:

- Peak sales occur during morning hours (8 AM – 10 AM).
- Sales decline after midday, with lower engagement in evening hours.
- Fridays show the highest order volume, while Saturdays record the lowest.

Insight: Customer demand is highly concentrated around morning routines, indicating that the business is driven by daily coffee consumption habits.

Monthly Performance

Sales across months show relatively stable performance with minor fluctuations, suggesting:

- Consistent customer demand
- Limited seasonal volatility

Insight: The business maintains steady revenue streams, but there is an opportunity to introduce seasonal promotions to drive additional growth.

4. Store Location Analysis

The coffee shop operates across three key locations:

- Astoria
- Hell's Kitchen
- Lower Manhattan

Findings:

- All locations contribute almost equally to total revenue.
- Hell's Kitchen slightly outperforms others in sales.
- Footfall is evenly distributed, indicating balanced customer traffic.

Insight: The brand has a consistent market presence, but localized strategies could further optimize individual store performance.

Page 2: Product Insights & Strategic Recommendations

5. Product & Category Performance

Top-Selling Products (by Revenue)

- Barista Espresso (~\$91K)
- Brewed Chai Tea (~\$77K)
- Hot Chocolate (~\$72K)
- Gourmet Brewed Coffee (~\$70K)

Insight: Beverage items dominate revenue, particularly coffee-based products, confirming the core strength of the business.

Category Contribution

- **Coffee: ~39% (largest contributor)**
- **Tea: ~28%**
- **Bakery: ~12%**
- **Other categories contribute marginally**

Insight: The business is heavily reliant on coffee and tea, while other categories present opportunities for growth or optimization.

Order Size Distribution

- **Regular: 31%**
- **Large: 30%**
- **Not Defined: 30%**
- **Small: 9%**

Insight: Customers prefer medium-to-large sizes, suggesting strong potential for upselling strategies.

6. Customer Spending Patterns

- **Average spend per customer is relatively low at \$4.69.**
- **Customers typically purchase 1–2 items per visit.**

Insight: Increasing the average order value (AOV) is a key opportunity for revenue growth.

7. Strategic Recommendations

1. Maximize Peak Hour Efficiency

- **Allocate more staff during morning rush hours.**
 - **Ensure product availability and quick service.**
 - **Introduce breakfast bundles to increase order size.**
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2. Increase Average Order Value

- **Promote combo deals (coffee + bakery items).**
 - **Encourage larger sizes through pricing strategies.**
 - **Introduce loyalty programs or upselling techniques.**
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3. Improve Weekend Performance

- **Launch targeted promotions on weekends.**
 - **Introduce limited-time offers or in-store experiences.**
 - **Use marketing campaigns to attract non-weekday customers.**
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4. Optimize Product Strategy

- **Expand high-performing categories (coffee, tea).**
 - **Reposition or promote underperforming products.**
 - **Introduce premium or seasonal beverages.**
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5. Leverage Location-Based Insights

- **Customize offerings based on local preferences.**
 - **Run location-specific campaigns to boost engagement.**
 - **Monitor store-level KPIs for continuous improvement.**
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8. Conclusion

The coffee shop exhibits strong and stable performance, driven primarily by high customer footfall and consistent demand for core beverage products. However, growth opportunities lie in increasing customer spending, enhancing weekend sales, and optimizing product offerings.